Chapter 6 Part III – Absorption and Variable Costing

Variable costing and Absorption Costing

- Describe absorption costing
- Describe variable costing
- What is a contribution margin income statement
- What is an absorption costing income statement

Absorption Costing

All manufacturing-related costs (fixed and variable) are absorbed into the cost of the product.

DM, DL, and MOH are treated as product costs.

Required by GAAP and the IRS.

Variable Costing

Only variable manufacturing costs are treated as product costs.

Only used for ***internal*** management purposes.

Often leads to better decisions:

- Shows incremental cost of manufacturing each unit.
- Operating income will not be affected by changes in inventory levels.

Example Absorption vs. Variable Costing

Variable costs:	
Direct material cost per unit produced	$35
Direct labor cost per unit produced	$10
Variable MOH cost per unit produced	$5
Variable operating expenses per unit sold	$2
Fixed costs:	
Fixed MOH	$1,000,000
Fixed operating expenses	$300,000
Other information:	
Units produced	40,000 units
Sales price per unit	$100

Example Absorption vs. Variable Costing – differences in presenting fixed manufacturing overheads

	A	B	C
1	Manufacturing Costs Per Unit	Absorption Costing	Variable Costing
2	Direct material cost per unit	$ 35	$ 35
3	Direct labor cost per unit	10	10
4	Variable MOH cost per unit	5	5
5	Fixed MOH cost per unit ($1,000,000 ÷ 40,000 units)	25	0
6	Total cost per unit	$ 75	$ 50
7			

Under variable costing, no fixed MOH is assigned to the product cost.

	A	B	C
1	Operating Expenses of the Period	Absorption Costing	Variable Costing
2	Variable operating expenses when 40,000 units are sold (40,000 × $2)	$ 80,000	$ 80,000
3	Fixed operating expenses	300,000	300,000
4	Fixed MOH	0	1,000,000
5	Total operating expenses (period costs)	$ 380,000	$ 1,380,000
6			

Under variable costing, fixed MOH is treated as a period cost.

Example Absorption vs. Variable Costing – difference in the decisions

Assume the company decides to produce an extra 5,000 units.

Variable costing (5,000 units x $50) = $250,000.

Absorption costing (5,000 units x $75) = $375,000.

Variable costing is more accurate for internal decision making.

The Traditional Income Statement versus Contribution Margin Income Statement

Traditional Income Statement (amounts in $)	
Sales (40,000*$100)	4,000,000
Less:	
Cost of goods sold (40,000*$75)	3,000,000
Gross Profit	**1,000,000**
Less:	
Operating expenses	380,000
Operating Income	**620,000**

Contribution Margin Income Statement (amounts in $)	
Sales (40,000*$100)	4,000,000
Less variable expenses	
Variable Cost of goods sold (40,000*$50)	2,000,000
Variable operating expenses	80,000
Contribution Margin	**1,920,000**
Less fixed expenses	
Fixed Mfg OH	1,000,000
Fixed operating expenses	300,000
Operating income	**620,000**

The Contribution Margin Income Statement - Characteristics

Organized by cost behavior.

All variable costs are expensed ***above*** the contribution margin line.

All fixed costs are expensed ***below*** the contribution margin line.

Contribution margin = sales revenue – variable expenses.

Operating income is the same in both statements when all units are produced and sold in same period.

Only for internal use.

The Contribution Margin Income Statement